Hedge Funds Manager Research

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Investor Profile

ENDOWMENT OF $10 BILLION

- **Norms:**
  - Moderate-to-high risk tolerance, prioritizes diversification, and consistent funding
  - Return benchmark: 5% (T-bill, CPI, or RFR)
  - Prefers commingled offshore hedge funds, avoids FoFs, and favors direct investments
- **Issue**
  - Must outpace HEPI (higher education inflation)
  - Highly Sensitive to Inflation Risk
  - Strong Governance & Transparency critical (tighter regulatory oversight after 2008)

Investor Profile (Continued)

- **Typical Allocation to Hedge Funds:**

  - 25% of portfolio = $2.5B (Preqin, NACUBO)

- **Investor Filters:**

  - Open to investment
  - Commingled (Preqin)
  - Hedge fund >=$250m in AUM
  - Inception date of minimum 10 years (Pioneering Portfolio Management)
  - Offshore (Hedge Funds Global)
  - High water mark (Institutional Investor)

Economic Outlook

WEAK GDP GROWTH IN 2025: 0% - 0.5%

1. Inflation showed a modest cooling, with March CPI at 2.4%, however, the trade-war remains causing high uncertainty
2. ISM Manufacturing PMI fell to 49; Employment Index dropped to 44.7; New Orders fell to 45.2 signaling a slowdown
3. Consumers are curbing spending and accumulating more debt; Preliminary April 2025 consumer sentiment plunged to 50.8, the "lowest level since June 2022."; U.S. Chamber of Commerce Small Business Index for 1Q25 fell to 62.3
4. Goldman Sachs cut its 2025 GDP estimate to 1.3%, MS to 1.5%; FED March 2025 projections has GDP growth at 1.7%

Similar Year = 2008

1. University of Michigan Surveys said its final index reading of confidence for November fell to 55.3, a 28 year low
2. ISM said the factory sector was 43.5 in September the biggest one-month point drop in the index since January 1984
3. FED cut growth expectations to 0.3% - 1.2%
4. Consumers cut spending and jobless aid last week hit a 26-year high (Reuters)

2008 Performance

Hedge Fund Performance in 2008 = -18.94%

1. Global Macro = 4.00%
2. Relative Value = -2.54%
3. Event Driven = -21.53%
4. Equity Strategy = -25.57%

Global Macro Fund

NUMBER OF FUNDS GIVEN TEAM FILTERS: 12

SELECTION CRITERIA

1. Lockup Period ≤ 11 Months
2. Redemption Frequency ≤ 30 days
3. Sortino Ratio since Inception (MAR 1%) ≥ 1.0

} 3 FUNDS

TOP FUNDS:

1. Astignes Asia Rates Fund
2. Quantedge Global Fund
3. The Merchant Commodity Fund

Global Macro Fund

Chosen Global Macro Fund:

- Astignes Asia Rates Fund

Additional Information:

- Commingled, domiciled in the Cayman Islands
- Systematic Macro Trading
- Geographic focus in the Asia-Pacific region
- **AUM:** $860 Million
- **Inception Year:** 2007

Global Macro Fund- Astignes Asia Rates Fund

Performance & Terms	Qualitative Factors
Annualized Return: 6.68%	**Strategy Repeatability:** High — systematic Asia macro
Sharpe Ratio*(R_F = 2%): 0.91	**Institutional Fit:** Very strong: liquidity, stability, regional focus
Sortino Ratio*(MAR = 1%): 2.08	**Fund Administrator:** State Street
Max Drawdown: -4.04%	**Fund Auditor:** PricewaterhouseCoopers
Volatility: 5.14%	**Fund Custodian:** Standard Chartered , State Street Custody Services , The Bank of New York Mellon
Management Fee: 1.75%	**Prime Broker(s):** Deutsche Bank Global Prime Finance , J.P. Morgan , Standard Chartered Bank
Performance Fee: 20%	
Lockup Period: None	
Redemption Frequency: 30 Days	

*Since Inception

Chosen Global Macro Fund



Manager - Shing Hue Lye

- Education: **Cornell University** – MSc. in Electrical Engineering, **Institut Superieur d'Electronique de Paris**- Masters in Engineering
- **Career Timeline:**
  1. Pre-2009 - Asian Local Markets Strategist at ABN AMRO; previously proprietary trading team at J.P. Morgan Singapore (FX, rates, derivatives)
  2. 2006–Present: Chief Investment Officer and Portfolio Manager at Astignes Capital, focused on Greater China and Asia-Pacific macro strategies.
- Social Media Presence: LinkedIn

Relative Value Fund

NUMBER OF FUNDS GIVEN TEAM FILTERS: 13

SELECTION CRITERIA

1. **Sharpe Ratio (5Y, 1% R_F)**: Measures risk-adjusted return; prefer funds with Sharpe > 1 for efficient reward per unit of volatility.
    - **Consistency Over Time**: Use **5-year** Sharpe to capture long-term stability in excess returns.

TOP FUNDS:

1. Cedar Street Leveraged Market Neutral Strategy
2. Context Partners Master Fund
3. Landscape Offshore HL Fund

Chosen Relative Value Fund

CHOSEN FUND:

- Landscape Offshore HL Fund
    - Managed by Landscape Capital Management

ADDITIONAL DETAILS:

- AUM: $325.8 million
- Prime Brokers: UBS investment bank - Prime Services, Wells Fargo Prime Service
- Commingled, domiciled in the Cayman Islands
- Inception Year: 2006

Chosen Relative Value Fund

	Annualized Return 5-years	Management Fee	Performance Fee	Lock-up	Sharpe Ratio (5yr 1%R_F)
Cedar Street Leveraged Market Neutral Strategy	15.90%	1.5%	20%	3 months	1.99
Context Partners Master Fund	15.90%	1.5%	15%	6 months	2.0
Landscape Offshore HL Fund	15.16%	2.0%	25%	No lock-up	1.42

	Auditors	Hurdle Rate	Best Return %	Worst Return %	Redemption Notice Period
Cedar Street Leveraged Market Neutral Strategy	RSM	No	7.16	-7.46	30 days
Context Partners Master Fund	EisnerAmper	No	7.59	-3.48	-
Landscape Offshore HL Fund	KPMG	Yes (T-BIll)	8.52	-5.90	30 days

Chosen Relative Value Fund



Manager - Mike Morell

- Education: Harvard University – Bachelor of Arts in Economics

- Career Timeline:
  1. Pre-2006 - Risk management roles at Bankers Trust and American Skandia, corporate officer at Aegon Institutional Markets.
  2. 2006–Present: Co-CIO and Managing Partner at Landscape Capital Management.

- Social Media Presence: LinkedIn

Event-Driven Fund

NUMBER OF FUNDS GIVEN TEAM FILTERS: 18

SELECTION CRITERIA

1. Standard Deviation below 5
2. 5-year annualized return above 5
3. Sharpe Ratio above 1

TOP FUNDS:

1. Glazer Enhanced Offshore Fund
2. BlackRock Credit Alpha Master Fund
3. SC Lowy Primary Investments, L.P.

Chosen Event-Driven Fund

CHOSEN FUND: Glazer Enhanced Offshore Fund

- Commingled, domiciled in the Cayman Islands
- AUM: $1.23 billion
- Inception: 2010
- Fund Manager: Glazer Capital LLC
    - 38 Total Staff (Form ADV)
- Primary Focus: Merger Arbitrage
- 5 year annualized return: 13.15%
- 12 month volatility: 1.35%
- Sharpe Ratio: 5.62
- High water mark
- Prime Brokers: 7
- Auditor: KPMG
- Custodians: 17
- Directors:
    1. David Barlow
    2. David Bree
    3. Ronan Guilfoyle
    4. Tammy Seymour

Event Driven Fund Manager

Manager - David Barlow



- Education: Graduated from Villanova University in 2001
- Career Timeline:
  - Before joining Glazer Capital in September, 2008 as the COO (he has stayed in this position for the past 16 years), he was a V.P. in hedge fund administration at Citigroup
  - Since January 2011, he has also served as the firm's Chief Compliance Officer of Glazer Capital, LLC.

VILLANOVA UNIVERSITY

Long / Short Equity Fund

NUMBER OF FUNDS GIVEN TEAM FILTERS: 60

SELECTION CRITERIA

1. Higher than average Sharpe ratio since inception (2% R_F) ⟶ Avg. = 0.6496
2. Lower than average volatility since inception ⟶ Avg. = 15.329%
3. Lower than average management fee of 2%
4. Higher than median redemption frequency ⟶ Avg. = 30 Days
   - Maintain positions longer and enables execution of strategies without the pressure of short-term liquidity demands
5. Higher than median redemption notice ⟶ Avg. = 30 Days
   - Supports long term strategy and encourages committed investors

4 FUNDS

Long / Short Equity Fund

Administrative Criteria:

- Point values to remaining funds given multiple auditors, prime brokers, administrators, and custodians

	Auditors	Administrators	Prime Brokers	Custodians
1798 Volantis Fund	1	2	6	9
Bronte Capital Ganymede Fund	2	2	6	10
Polar Long/Short Fund	1	7	16	19
TAL China Focus Fund	2	7	3	19

TOP 3 FUNDS:

1. 1798 Volantis Fund
2. Bronte Capital Ganymede Fund
3. Polar Long / Short Fund

Chosen Long / Short Equity Fund

CHOSEN FUND: 1798 VOLANTIS FUND

- Financial characteristics

Avg. = 15.33%

Avg. = 0.6496

	Annualized Return*	Volatility*	Sharpe Ratio (R_F = 2%)*	Kurtosis	Skew
1798 Volantis Fund	10.33%	9.08%	0.92	3.36	-0.04
Bronte Capital Ganymede Fund	9.05%	10.78%	0.65	0.18	-0.08
Polar Long/Short Fund	7.75%	5.52%	1.04	0.87	0.30

* Since Inception

Chosen Long / Short Equity Fund

Additional Info:

- Commingled, domiciled in the Cayman Islands
- AUM: $268 Million
- Inception: May 1, 2002
- Fund Manager: Lombard Odier - 180 Total Staff
- Geographic focus in the UK / Europe
- High water mark

	Auditors	Administrators	Prime Brokers	Custodians	AVERAGE
1798 Volantis Fund	1	2	6	9	5
Bronte Capital Ganymede Fund	2	2	6	10	5
Polar Long / Short Fund	1	7	16	19	11

Chosen Long / Short Equity Fund



Manager - Adam McConkey

- Education: Doctorate in International Relations from Loughborough University
  - Lectured in politics and economics
- Career Timeline:
  1. Pre-2000: Equity analyst on European stock desks at Gartmore Investment & Co-operative Bank
  2. 2000: Joined Gartmore's UK Smaller Companies team as a Senior Investment Manager
  3. 2002: Became a member of Gartmore's Volantis investment team
  4. 2010: Appointed Head of UK Smaller Companies (leading the Volantis team) at Gartmore
  5. 2017 - Present: Volantis team moved to Lombard Odier Investment Managers under the 1798 platform; McConkey became Head of the Volantis team at LION and the fund manager for 1798
- Social Media Presence: LinkedIn and active on Twitter

Capital Allocation

1. **Global Macro:** $1 billion (40% of HF allocation), Shiang Hue Lye
    - Return Expectation: 8% - 12%
2. **Relative Value:** $750 million (30% of HF allocation), Mike Morell
    - Return Expectation: 3% - 7%
3. **Event Driven:** $450 Million (18% of HF allocation), David Barlow
    - Return Expectation: -2% - 2%
4. **Long / Short Equity:** $300 Million (12% of HF allocation), Adam McConkey
    - Return Expectation: -5% - 0%